Financial Outlay vs Investment for PLI Schemes — Table 1

PLI Scheme Sectors	Financial Outlay (₹ billion)	Financial Outlay ($ billion)	Estimated Investment ($ billion)
IT Hardware	73.25	0.7	NA
Large Scale Electronics	409.51	5.6	1.5
Telecom and Networking Products	121.95	1.7	0.4
Solar PV Modules	45	0.6	2.4
ACs and LEDs	62.38	0.9	1.1
ACC Battery Storage	181	2.5	6.1
Medical Devices	34.20	0.5	0.1

components in the country. Ranging from manufacturing smartphones to making large scale electronics in India, these PLI schems promise incentives of more than 900 billion rupees (approx. $12 billion).

As PM Modi said, "That is why I tell all our manufacturers that each of your products is a brand ambassador of India. When someone will buy and use your product, the customer should say with pride now, "This is Made in India." That's the mindset we need. You all should now aspire to win over the global market. The government is fully with you in realising this dream."

The local factor

Local for Vocal and *Aatmanirbhar Bharat* have been two sets of keywords that the entire cabinet of ministers and rest of the Indian bureaucracy and administration has been promoting since the last two years. Now, while the pride of holding and using a 'Made in India' phone or any other electronic device is enough in itself, what also matters is how much local value addition are the manufacturers doing.

As Sanjeev Keskar of Arvind Consultancy puts it, "It's great that India is taking huge strides in terms of electronics manufacturing. We have taken the first steps, but it is critical to understand and act upon what kind of local value addition these manufactures are doing in India. Are they just importing completely-knocked-down (CKD) units, assembling them here, and calling it Made in India?"

"Such practice will only ensure that only a small part of localisation is taking place in the country. For example, the CKD route cannot currently ensure more than 10% local value addition. This means for every $100-phone we export or sell in the country, India gets to keep only $10, the rest of the amount goes back to the country of origin of the product, IP, and components," he adds.

While there is no doubt that the PLI schemes will help attract a lot of investments, both from local as well as international organisations, the objective of making these schemes successful, which in turn will make India *atmanirbhar*, will only be achieved when there is an adequate local component manufacturing ecosystem in the country.

"PLI scheme is of great interest to component manufacturers, and we understand that a few of the large companies have submitted their applications for benefits under the same. However, the potential of this scheme to enable growth of the components eco-system and attract a large number of domestic entrepreneurs is subject to it being tailored to suit domestic industry," notes Rajoo Goel, Secretary General, Electronics Industries Association of India (ELCINA).

One way of gauging how well this local ecosystem of manufacturing components is working in India is by keeping a check on the number of CKDs being imported in India. If the number of CKDs being imported and assembled in the country is more than the number of units being locally manufactured in the country, then the ecosystem may need an overhaul. Of course, the end-to-end manufacturing will take time but with the right modifications in the policy, this has a window of being achieved faster.

Notably, while the first PLI scheme was a groundbreaking one, what limited its reach was inclusion of components that were more inclined towards the mobile value chain. Moreover, there has been no mention of raw materials that go into manufacturing of components.

"The components covered under the current PLI scheme are extremely limited and do not cover a number of electro-mechanical, mechanics (plastic & metal parts), and some others such as filters, isolators, RF components, magnets, which have high import dependence. These must be added to the list of eligible components for PLI benefits. The list of components covered under the scheme needs to be more comprehensive and at least include all components which are eligible in the SPECS scheme," explains Goel.

He adds, "It is also very important that key inputs which are required for manufacturing components should be included such as MPP film for capacitors, ferrite core and enamelled copper wire for transformers and inductors, lead frames, moulding compound, and gold wire for semiconductors."

Interestingly, creation of direct and indirect jobs in the electronics manufacturing ecosystem has been one of the top agendas for most of the PLI schemes. It is worth mentioning here that the component manufacturing ecosystem has the potential to add one job for every two million rupees invested, and five jobs for every ten million rupees invested.

The greatest example of the same comes from the recently announced PLI for LED lights and ACs. India is one of the largest consumers of LED lights in the world, and it is on the brink of having a higher penetration of ACs, and that is why the industry was amazed at the announcement of this scheme. However, a lot of key components that are a part of these were not included in the list.

Some of the examples of these components include capacitors (film and electrolytic), diodes, bond wire, connectors, MOSFETs/transistors/rectifiers, transformers (only inductors have been included), optics, and laminates for metal-clad PCBs. The scheme, like most others, also does not mention raw materials used in manufacturing the components.

"Raw materials have not been included. It is requested that these may be considered as they are essential for enabling cost-competitive